

INVESTMENT TEASER: AUTOMATED SMART-HOTEL REVITALIZATION PROJECT (IOANNINA)

1. Executive Summary & Core Asset Data

This premium investment opportunity focuses on the acquisition and optimization of a freestanding commercial/residential building under a low-touch, automated hospitality or corporate housing model.

- **Prime Location:** Situated in the historic core of Ioannina, located exactly **200 meters** from the landmark Byzantine Castle (Kastro).
- **Structural Integrity (1989 Build):** Built under Construction License No. 37/1989. The reinforced concrete framework complies with Greece's modernized, strict post-1985 seismic regulations. This eliminates structural risks and removes any requirement for expensive foundation or column reinforcement.
- **Turnkey Optimization Strategy:** The asset's upper floor inventory is already legally established. Capital expenditure is highly optimized by focusing heavy structural renovations on converting the ground floor from retail to premium residential use, while applying cost-efficient cosmetic and design upgrades to the existing upper units.
- **Physical Layout:** 4 above-ground levels (Ground Floor, Mezzanine, and 2 Residential Floors) plus a dedicated rooftop access structure. The property contains **zero basement levels**, eliminating underground water or excavation risks.

2. Verified Area Breakdown & Inventory Configuration

Total Gross Floor Area (GFA): 283.88 sq.m.

Reflects the total enclosed area across all levels by outer wall perimeters (including common staircases and elevator shaft):

- Ground Floor / Isogeo: 56.55 sq.m.
- Mezzanine / Semi-Floor: 71.90 sq.m.
- 1st Residential Floor (Floor A): 63.51 sq.m.
- 2nd Residential Floor (Floor B): 71.90 sq.m.
- Rooftop Enclosure (Stair/Elevator Exit): 20.02 sq.m.

Total Net Usable Area: 184.59 sq.m.

Represents the direct, monetizable interior living space partitioned into a high-efficiency **6-key inventory layout** (excluding common shafts and structural corridors):

- **Commercial Base Conversion (Ground Floor — 41.74 sq.m. Net):** Complete transformation of the non-residential space (former shop/office) into 1 premium apartment featuring a highly desirable **private entrance directly from the street**.
- **Mezzanine Level (44.90 sq.m. Net):** Modernized into 1 independent apartment unit, utilizing identical efficient plumbing layouts as the upper residential floors.
- **Existing Residential Inventory (Floors A & B — 97.95 sq.m. Net Total):** Houses 4 already legally established, functional compact studios (2 per floor, layout sizes: 26.89 sq.m. and 25.31 sq.m.). These units require a modern aesthetic refresh, updated interior textures, and a contemporary furniture (FF&E) package rather than heavy structural modifications.

Exploitable Open Rooftop Terrace: 51.94 sq.m.

Calculated as the total roof footprint (71.96 sq.m.) minus the enclosed staircase/elevator hub (20.02 sq.m.). This space serves as an intimate, secluded courtyard-style lounge deck overlooking the traditional tiled roofs of the historic center. The elevator and central staircase extend directly to this level, ensuring seamless guest accessibility.

3. Targeted Capital Structure (Total CAPEX Matrix)

By designing the renovation budget tightly around net interior surfaces and existing inventory, the required capital injection is strictly controlled, averaging a high-density renovation rate of ~€1,300 per sq.m. for reconstructed areas and highly competitive cosmetic rates elsewhere.

Capital Component	Investment Allocation (€)	Valuation / Operational Basis
Property Acquisition (Purchase)	650,000	Exceptional entry baseline at €2,290 per gross sq.m.
Taxes, Notary & Legal Closing Fees (7%)	45,500	Statutory transaction costs and title registration.
Ground Floor Conversion	41,740	Deep structural, MEP, and

Capital Component	Investment Allocation (€)	Valuation / Operational Basis
(Isogeo)		acoustic residential conversion (€1,000 / sq.m.).
Mezzanine & 4 Studios Modernization	57,140	Cosmetic overhaul, design textures, and new furniture packages (€400 / sq.m.).
Rooftop Terrace Fit-out	12,985	High-durability outdoor tiling, ambient lighting, and lounge layout (€250 / sq.m.).
Automation System & Licensing Hub	15,000	Smart IoT lock deployment, change-of-use licensing, and launch marketing.
TOTAL PROJECT CAPEX	822,365	All-in capitalized entry cost to operational readiness.

4. Operational Strategy & Yield Projections (ROI)

Both operating scenarios are stress-tested against a conservative 60% annual occupancy rate to ensure strong structural resilience.

Scenario 1: Automated Boutique Hotel Model (Short-Term Turnover)

- **Inventory Structure:** 6 automated keys (2 spacious lower apartments + 4 compact modern upper studios).
- **Target Pricing (ADR):** Lower units at €95/night; Upper studios at €75/night.
- **Gross Annual Revenue:** €107,310
- **Operational Expenses (OPEX):** Constrained to 30% of Gross Revenue (€32,193) due to full automation (no permanent on-site front-desk staff, cloud-managed keyless access, digital housekeeping dispatch).
- **Net Operating Income (Annual NOI):** €75,117
- **Unleveraged Yield (ROI on 100% Equity):** 9.13%

Scenario 2: Corporate All-Inclusive Model (Long-Term Expat Housing)

- **Inventory Structure:** 6 corporate residential keys targeted at professionals within Ioannina's expanding international IT cluster.
- **Target Pricing:** Fixed premium tier of €800 / month per room (All-Inclusive). To command this premium, the landlord covers all utilities (electricity, water, heating via energy-efficient heat pumps, high-speed mesh Wi-Fi), and provides the rooftop terrace as a private residential common amenity.
- **Gross Annual Revenue:** €57,600 (6 units × €800 × 12 months)
- **Operational Expenses (OPEX):** Fixed at €11,508 / year (Includes €5,400 inclusive utility allowance, 8% professional property management fee, and building maintenance insurance).
- **Net Operating Income (Annual NOI): €46,092**
- **Unleveraged Yield (ROI on 100% Equity): 5.61%**

5. Strategic Comparison Matrix for Final Presentation

Performance Metrics	Scenario 1: Boutique Hotel (Daily)	Scenario 2: Corporate Rental (Long-Term)
Total Capital Required (CAPEX)	€822,365	€822,365
Stabilized Occupancy Rate	60% (Conservative Stress-Test)	95% (Contractual Baseline)
Pricing Unit Baseline	ADR €75 – €95 / night	€800 / month per unit (All-Inc)
Utility & Overhead Treatment	Deducted via 30% OPEX model	Absorbed by Landlord via fixed €5.4k cap
Net Operating Income (Annual NOI)	€75,117	€46,092

Performance Metrics	Scenario 1: Boutique Hotel (Daily)	Scenario 2: Corporate Rental (Long-Term)
Unleveraged Cash Yield (ROI)	9.13%	5.61%
Management Intensity	Moderate oversight via Operator	Minimal via single local residential agent

Investment Conclusion: Securing this freestanding asset at a negotiated entry point of €650,000 completely recalibrates the project's risk profile, reducing the entry cost to just €2,290 per gross sq.m. in a highly protected historic location. The Short-Term Boutique Strategy (9.13% ROI) serves as the high-alpha growth engine, maximizing the asset's yield by capturing premium tourist and corporate daily rates. The Long-Term Corporate Strategy (5.61% ROI) offers an institutional-grade, low-volatility alternative that guarantees entirely passive, predictable cash flow backed by the region's top tech professionals. Both strategies represent an exceptionally safe placement of capital with rapid asset appreciation potential.